THE iX
DRIVE CAR OF THE YEAR 2024
BEST LUXURY ELECTRIC VEHICLE UNDER $150K
Learn more
Advertisement

‘Bad old days are back’: Albanese warned about his $1b solar push

Tom McIlroy
Political correspondent

Mar 28, 2024 – 2.19pm

Save | Share | Gift this article

Listen to this article
4 min

Anthony Albanese’s $1 billion plan to boost solar panel production in Australia is a risky bet on domestic manufacturers being able to compete in a rapidly shifting market, energy experts and economists say.

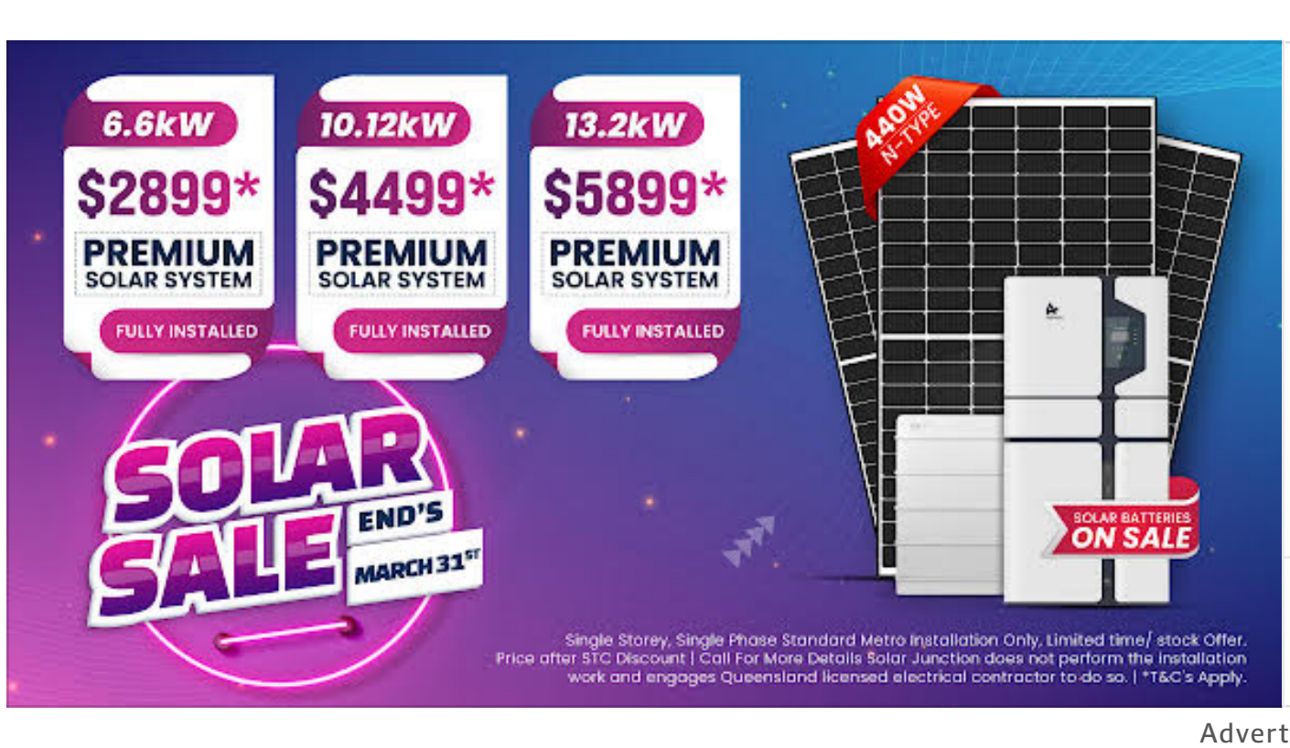
The prime minister announced plans on Thursday for subsidies, grants and other support to increase production, including in the NSW Hunter Valley. Currently, just 1 per cent of solar panels installed in Australia are manufactured domestically, and 90 per cent of the panels used around the world come from China.

One in three Australian households already have rooftop panels. **Bloomberg**

As part of the new Solar Sunshot program, the Australia Renewable Energy Agency (ARENA) will consult industry to design and deliver new manufacturing capacity. Growing demand has led to an increase in the volumes of cheap, imported panels in recent years.

Grattan Institute energy program director Tony Wood said it was unclear what Australia’s strategic advantage was on solar manufacturing, characterising the sector as “a bit of a bloodbath commercially”.

“This was an industry that started off as interesting technology and rapidly became a commodity,” he told *The Australian Financial Review.*


6.6kW $2899* PREMIUM SOLAR SYSTEM FULLY INSTALLED
10.12kW $4499* PREMIUM SOLAR SYSTEM FULLY INSTALLED
13.2kW $5899* PREMIUM SOLAR SYSTEM FULLY INSTALLED
440W N-TYPE
SOLAR SALE END'S MARCH 31ST
SOLAR BATTERIES ON SALE
Solar Power in Your Area
Leading Solar Retailer | Trusted Solar Installer | Solar Junction
Solar Junction | Open
Advertisement

“The growth was enormous. The prices came down dramatically and that wiped out a lot of the companies making panels. I don’t think any of that has changed.

“The question is this: it hasn’t worked so far, so why would it be different this time?”

Mr Wood said the public funding should be carefully allocated, welcoming the involvement of ARENA and the Clean Energy Financial Corporation, which seeks profits for taxpayer investment.

“I don’t want to throw cold water over this stuff, but we are talking about potentially a lot of public funding. Entrepreneurs are good at picking winners, governments are not.”

Steven Hamilton, economist and assistant professor of economics at George Washington University, panned the announcement.

“This government really is intent on unlearning all the hard-learnt lessons of the past,” he said on social media. “The bad old days are back.”

Tindo Solar, Australia’s only manufacturer of solar panels, announced in January plans to build a $100 million factory, increasing its capacity six-fold. It aimed to have the new plant, capable of producing 1.9 million panels annually, running by 2025.

Opposition industry spokeswoman Sussan Ley said Mr Albanese was too focused on politics.

‘Manufacturing is on the wrong track’

“Australia’s manufacturing sector should be powering ahead, taking Australia’s world-leading products to the world, and creating high-paying secure jobs,” she said.

“Instead, after almost two years of the Albanese government, the latest data from leading industry associations makes clear that Australian manufacturing is on the wrong track and heading in the wrong direction.”

Former Productivity Commission boss Michael Brennan warned in 2023 against industry policy targeting high-profile emerging sectors where prices were set to drop.

Mr Brennan said the risk of industry policy was not to “pick winners at random” but worse, picking winners everyone else was picking and not being able to compete.

More than 3.4 million households in Australia have rooftop solar panels, and the strong uptake is putting pressure on commercial wind and solar farms in the electricity market at certain times.

The Australian Council of Recycling, which represents the resource recovery and recycling industry, said the announcement could boost circular supply chains.

“Technologies for recycling end-of-use solar panels already exist in Australia, underscoring the feasibility and necessity of implementing comprehensive recycling programs,” chief executive Suzanne Toumbourou said.

“This program is an opportunity to support a circular system for solar panels in households and businesses around our vast country.”

RELATED
Australia’s only solar panel maker plots $100m expansion plan

RELATED
How a big new solar farm became a stranded asset

Tom McIlroy is the Financial Review's political correspondent, reporting from the federal press gallery at Parliament House. *Connect with Tom on Twitter. Email Tom at thomas.mcilroy@afr.com*

Save | Share | Gift this article | License article

READ MORE
Renewables + | Manufacturing + | Anthony Albanese + | Sussan Ley +

LATEST STORIES

Wine
Rebuilding wine sales in China to take time: minister
1 hr ago

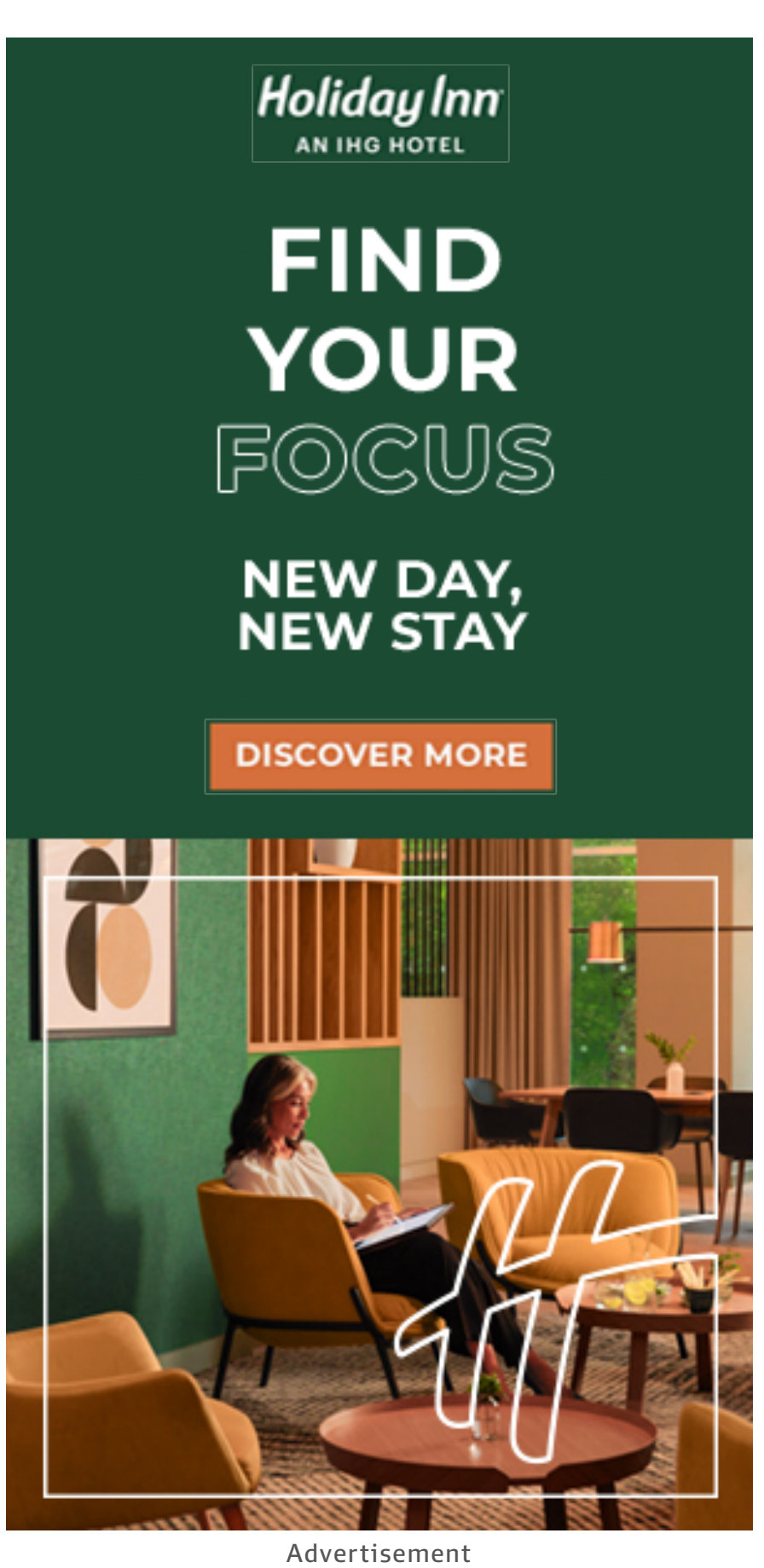
Opinion Cryptocurrencies
Bankman-Fried’s jailing a warning shot to crypto industry

Cryptocurrencies
Fallen crypto king Sam Bankman-Fried sentenced to 25 years in prison

Analysis China relations
China’s trade coercion tactics on ice as wine tariffs removed

Reports
AI’s brave new world
Artificial intelligence is being used by hackers to create ever more convincing fakes, but the technology is also giving our leading companies an edge.
View all 5 stories →

SPONSORED
Debt market shift
Sponsored
by Nuveen



Advertisement

LATEST IN FEDERAL

Political leadership
Tammy Tyrrell goes solo, quits Jacqui Lambie Network
Mar 28, 2024 | Ronald Mizen

Need to Know
Rebel union calls for 28pc increase to minimum wage
Updated Mar 28, 2024 | Lois Maskiell

NACC
Corruption body first as bribe charges laid against airport worker
Mar 28, 2024 | Michael Pelly

Housing crisis
Housing targets would be in reach if migrants already here could work
Mar 28, 2024 | Tom McIlroy

Political leadership
How migrants are changing the face of Australian politics
Mar 28, 2024 | John Black

MOST VIEWED IN POLITICS

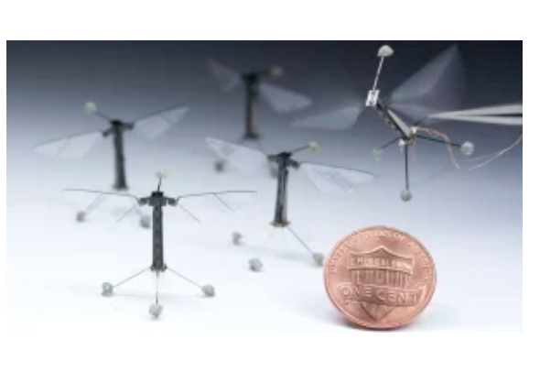
1 Tammy Tyrrell goes solo, quits Jacqui Lambie Network
2 ‘Bad old days are back’: Albanese warned about his $1b solar push
3 Former Gillard adviser to become Melbourne lord mayor after Capp exits
4 It’s the Malaysia Plan all over again
5 Disgrace turns into love on the cross

The Australian Financial Review Magazine

Zoë Foster Blake: ‘I still think it’s hilarious that I’m in business’
Lauren Sams
Roast chicken and a knockout sauce: a chef’s best Sunday lunch recipe
Lululemon, now a $US55b behemoth, wants you to wear activewear all day

BOSS

How missing AFL’s top job drove the F1 Grand Prix CEO
Patrick Durkin
Australia’s highest-paid directors revealed
No degree required: Canva, WiseTech and Culture Amp’s new workforce

Life & Leisure

Smaller, faster, deadlier - how drones are changing our world
Tony Davis
This week’s edits of lovely little luxuries: faded leather to champagne
Seven must-see shows in April

RICH LIST

Singo sells famed Paddington complex for more than $30m
Larry Schlesinger and Bonnie Campbell
Chemist Warehouse sales, profit surge ahead of ASX debut
Clive Palmer reaps $447m in royalties from Chinese adversaries

FINANCIAL REVIEW The Daily Habit of Successful People

ABOUT US
Products & services
Editorial team
Charter of Editorial Independence
History
Work with us
Announcements
Corrections
Platinum Year

CONTACT
Support
Letters to the editor
Submit a story
Advertise
Delivery Status

MAGAZINES
AFR Magazine
Fin! Magazine
BOSS
Life & Leisure

COLUMNS
Chanticleer
Street Talk
Rear Window
The AFR View

PODCASTS
15 Minutes with the Boss
Chanticleer
Tech Zero
The Fin
The Sure Thing
How I Made It

MARKETS DATA
Australian Indices
World Indices
Commodities
Bonds & Currencies
Companies index

LISTS
Rich List
Power List
Young Rich
More Lists

EVENTS
Business Summit
Property Summit
Retail & Payments Summit
CFO Live
Banking Summit
Infrastructure Summit
Super & Wealth Summit
Energy & Climate Summit
Higher Education Summit
More Events

MY ACCOUNT
Login

SUBSCRIBE
Subscribe
Corporate subscriptions
Student subscriptions

The Sydney Morning Herald | The Age | Brisbane Times | WAtoday | Domain | Drive

Site Map | Accessibility | Subscription terms | Privacy policy | Terms of use | Reprints & permissions

Download on the App Store | GET IT ON Google Play

© Copyright 2024 The Australian Financial Review, Nine Entertainment Co. Pty Ltd